

Falling Up

The
paradox
of
progress



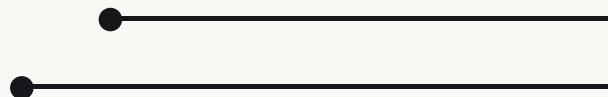
21
Oct
2024

CIO
Perspectives



Key Takeaways

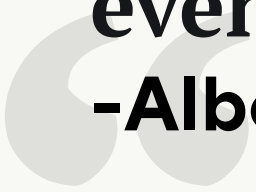
- > Relative performance of our portfolios was disappointing over the quarter, largely due to our underweight in Chinese equities and the relative underperformance of our largest positive contributors from the last year
- > We remain confident in our current positioning and the longer-term performance of our strategies, which as of the end of Q3 2024 are each outperforming their respective benchmarks over the 1-, 3-, 5-, and 10-year periods and since inception
- > We are skeptical of the sustainability of the recent market rally in China. Meanwhile, our opinion is that the fundamentals in India have been improving and are more likely to remain stable



“The first cut is the deepest,” or so the song goes. But we are not talking about Fed rate cuts, we are talking about Q3 2024 performance. While we humbly know that we do not get everything right, we were made acutely aware of this fact over the last 90 days. Relative performance across our portfolios was disappointing, with all portfolios lagging their respective benchmarks.



**Memory is
deceptive
because it's
colored by
today's
events.”
-Albert Einstein**



SHORT-TERM PAIN, LONG-TERM GAIN

We are not making excuses for performance, but we do find it helpful to frame recent performance over the longer term. If we zoom out, all our core strategies were not only positive in absolute terms but have also outperformed their benchmarks over the 1-, 3-, 5-, and 10-year periods and since inception. So, that is the good news. However, as the Einstein quote above notes, we are also here to discuss “today’s events” and how we are thinking about them.

Naturally, the biggest news—as it relates to global equity markets this quarter—came out of both China and the Eccles building. Given that we are not terribly interested in Fed speak, we will instead focus on the former given our positioning and the market impact so far.

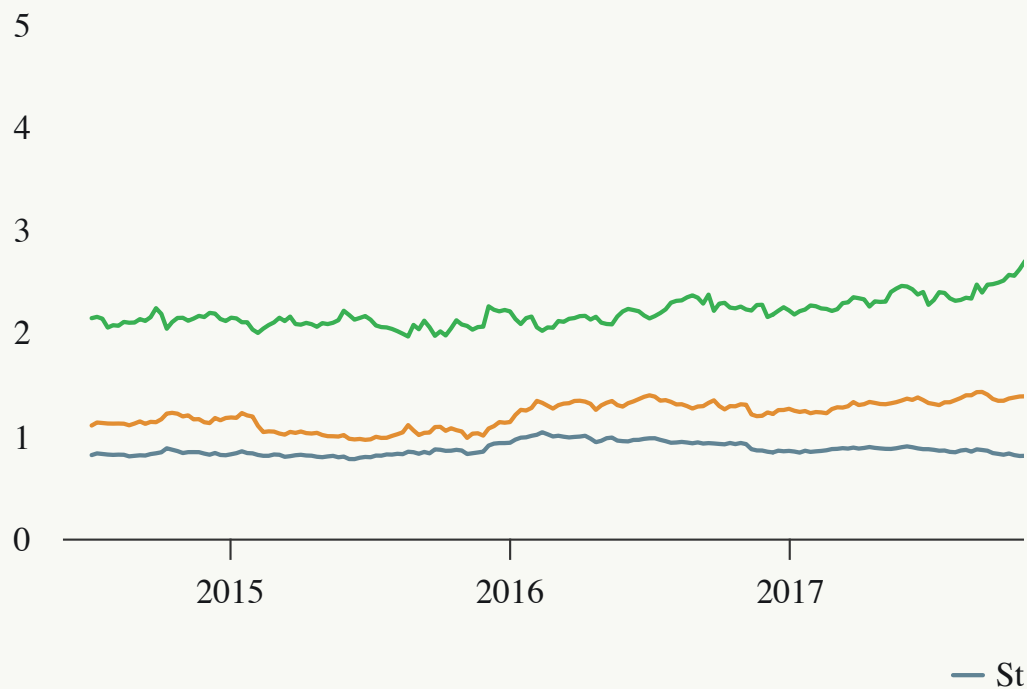
PORTFOLIO SETBACKS BEYOND CHINA

Before we discuss China, Q3 was also characterized by several of our largest positive contributors over the last year underperforming, including GLP-1-related names, primary AI beneficiaries, and a variety of names within India. In our view, very little has changed for the outlook of those companies, and at some point, even the biggest “winners” give back some of their performance gains.

Because our views have not substantially changed, and we have discussed these larger “themes” in nearly every quarterly letter for the past year, we will keep our comments brief: Novo and Lilly are yet to become obese; Meta continues to benefit from AI innovations to improve engagement and effectiveness of advertisements; and all roads in India continue to lead to capital-heavy names given its massive infrastructure buildout and growing energy needs.

Having said that, it is not as if we have not made any portfolio adjustments over the last few months. In fact, we have continued to find opportunities globally in sectors such as consumer staples and utilities at the expense of names across the technology complex. As we always remind folks, as the data changes, we change. We are seeing a lot of shifting data across those areas, with one of the major ones being relative valuations.

Relatively Attractive



Source: Bloomberg. Data for the time period 4 July 2014 through 30

When looking at price-to-sales ratios relative to the MSCI USA Equal Weighted Index for consumer staples, utilities, and the PHLX Semiconductor (SOX) Indexes, as shown in the chart, notice that both staples and utilities are currently near their 10-year median valuations while the SOX remains more than 30% above its own. While we are comfortable with owning higher multiple names, we do feel that they deserve greater vigilance and size adjustments. Valuations are like hiking a mountain: the higher the altitude, the less oxygen we have, and the more cautious we need to be.

Because of this, weaker data points led us to trim tech more aggressively as any sign of a slowdown must lead to faster reaction times, in our view. Therefore, we quite like the potential for select “steady eddy”-type names, given the relative valuations combined with—what we believe to be—meaningful pull-forward across the technology space.

While the quarter was not all China, it was mostly China, both from a performance and headline perspective. Next, we will share our thoughts on the space and underscore why we do not believe this rally in China is likely to last.

(MAYBE) THIS TIME IS DIFFERENT

This Too Shall Pass?

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Source: Morningstar. Data from March 2013 through September 2024. You cannot invest directly in an index. Past performance may not be indicative of future results.

Looking back over the last several years, what we witnessed across Chinese equity markets in late September was nothing new. We have seen this market behavior many times over the last decade or so. Since Xi came to power in March 2013, there have been eight

double-digit
monthly returns
for MSCI China
(compared to
only two for the
S&P 500). In all
but two time
periods, returns
were negative
one year after a
rally to the tune
of about 10%,
on average. So
again, things
have historically
not ended well
after the sugar
high wears off.

For us, the preference has been for “old economy”
companies, such as state-owned enterprises in areas like
banking, oil and gas, over “new economy” ones that have
been in the regulatory cross hairs. And, if the economy were
to meaningfully strengthen, we think cyclicals would
outperform. But we shall see.

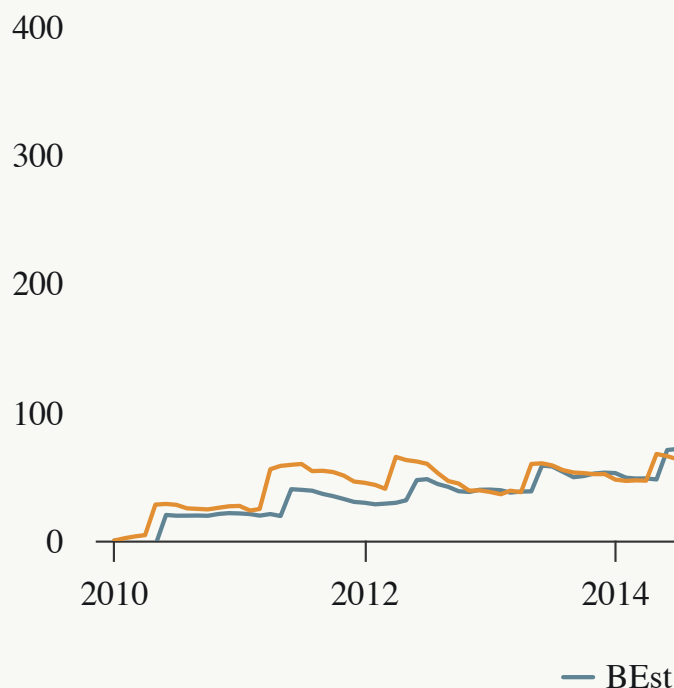
**SOMETI
MES
FUNDAM
ENTALS**

Go for Growth

MISS OUT ON FUN

]

Lastly, and this is critical for stock pickers, we would rather go where the fundamentals continue to improve and are likely to remain durable rather than rely on a short pop in sentiment. In our view, India remains far superior to China from an earnings-per-share growth perspective, as shown in the chart. In India, investors are getting faster and more dependable growth without the regulatory



Source: Bloomberg. Data for the Shanghai Shenzhen CSI 300 and NIFTY 50 indexes for the

headwinds of
China, and the
transformation
in India is only
likely to
improve over
the coming
years, in our
view.

In closing, we fully recognize underperformance is painful, but we remain confident with our current positioning and our overall longer-term performance. We also recognize that several prominent investors disagree with our views on China, and that is fine as well. To use an overused phrase, “That’s what makes a market.”

As always, thank you for your support.

Rajiv Jain
Chairman & Chief Investment Officer
GQG Partners LLC

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The **MSCI USA Utilities Index** is designed to capture the large- and mid-cap segments of the US equity universe. All securities in the index are classified as being within the Utilities sector as per the Global Industry Classification Standard.

The **MSCI USA Consumer Staples Index** is designed to capture the large- and mid-cap segments of the US equity universe. All securities in the index are classified as being within the Consumer Staples sector as per the Global Industry Classification Standard.

The **PHLX Semiconductor Sector Index (SOX)** is a modified market capitalization-weighted index composed of companies primarily involved in the design, distribution, manufacture, and sale of semiconductors.

The **NIFTY 50 Index** is an Indian stock market index that represents the weighted average of 50 of the largest Indian companies listed on the National Stock Exchange.

The **CSI 300 Index (SHSZ300)** is a capitalization-weighted stock market index designed to replicate the performance of the top 300 stocks traded on the Shanghai Stock Exchange and the Shenzhen Stock Exchange.

The **MSCI China Index** captures large and mid cap representation across China A shares, H shares, B shares, Red chips, P chips and foreign listings (e.g. ADRs). With 597 constituents, the index covers about 85% of this China equity universe. Currently, the index includes Large Cap A and Mid Cap A shares represented at 20% of their free float adjusted market capitalization.

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